

VIGIL MECHANISM

FOR ASTONEA LABS LIMITED

CIN:L24304CH2017PLC041482

**Registered Office: SCO 186-187, 2nd Floor, Cabin No. 206, Sector 8 C, Sector 8
Chandigarh, India, 160009**

VIGIL MECHANISM / WHISTLEBLOWER POLICY

(In compliance with Section 177 of the Companies Act, 2013 and Regulation 22 of SEBI (LODR) Regulations, 2015)

➤ PREAMBLE

The Board of Directors of **Astonea Labs Limited** (“the Company”) recognizes the importance of maintaining the highest standards of ethical conduct, transparency, and accountability in all aspects of its business operations.

Pursuant to **Section 177 of the Companies Act, 2013**, the Rules made thereunder, and **Regulation 22 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (SEBI LODR)**, the Board has adopted this **Vigil Mechanism / Whistleblower Policy** (“Policy”) to establish a robust framework for:

- Reporting genuine concerns regarding unethical conduct, violations of law, fraud, or improper practices.
- Ensuring protection of individuals who report such concerns from retaliation or victimization.
- Promoting a culture of integrity, accountability, and transparency across the organization.

This Policy reinforces the Company’s commitment to ethical behavior, adherence to legal and regulatory requirements, and fostering trust with its employees, shareholders, and other stakeholders.

➤ PURPOSE OF THE POLICY

The objectives of this Policy are:

1. Provide a **secure, confidential, and reliable mechanism** for reporting genuine concerns.
2. Safeguard whistleblowers from **retaliation, harassment, or victimization**.
3. Promote adherence to **applicable laws, regulations, and internal policies** while fostering ethical business conduct.
4. Ensure **timely and independent investigation** of reported concerns and implementation of corrective measures.
5. Encourage a culture of **openness, responsibility, and accountability** at all organizational levels.
6. Align with international best practices in corporate governance, risk management, and internal controls.

➤ SCOPE OF THE POLICY

This Policy is applicable to:

- **All Directors** (Executive and Non-Executive) of the Company.
- **All employees**, whether permanent, contractual, or temporary.
- **Any stakeholder**, including suppliers, vendors, or business partners, who wishes to report genuine concerns in good faith.

The Policy covers reporting of concerns including, but not limited to:

- Fraud, corruption, financial irregularities, or misappropriation of assets.
- Misuse of authority or position, abuse of power, or unethical practices.
- Violation of the Company's **Code of Conduct**, internal policies, or applicable laws.
- Any act compromising **health, safety, or environmental compliance**.
- Activities that may materially impact the **reputation, performance, or sustainability** of the Company.

➤ **DEFINITIONS**

1. **Whistleblower:** Any individual reporting a genuine concern regarding unethical, illegal, or improper conduct in good faith;
2. **Audit Committee:** The Audit Committee of the Board, constituted under Section 177 of the Companies Act, 2013, and Regulation 18 of SEBI LODR;
3. **Protected Disclosure:** A report made in good faith by a whistleblower that discloses unethical, illegal, or improper conduct;
4. **Ethics Counsellor:** A senior officer, such as the Company Secretary or another designated officer, appointed to receive, evaluate, and supervise the investigation of Protected Disclosures, ensuring confidentiality and proper handling of complaints.
5. **Investigator:** Any person or team, internal or external, authorized by the Audit Committee to conduct investigations in line with this Policy; and
6. **Material Concern:** A concern that, if proven, could have a significant financial, operational, regulatory, or reputational impact on the Company.

➤ **GUIDING PRINCIPLES**

The Company commits to the following principles in implementing this Policy:

1. **Protection:** Whistleblowers will report concerns without fear of reprisal, harassment, or discrimination.
2. **Confidentiality:** Whistleblowers' identity, as well as the information disclosed, shall be strictly protected except where disclosure is required by law.
3. **Objectivity and Independence:** All disclosures shall be assessed and investigated in an **unbiased and impartial manner** by competent investigators.
4. **Timeliness:** Investigations shall be conducted expeditiously, and corrective actions implemented without undue delay.
5. **Accountability:** Management and the Audit Committee shall ensure **strict adherence** to the Policy and accountability for implementation.
6. **Transparency:** Appropriate outcomes and learnings shall be communicated to relevant stakeholders while maintaining confidentiality

➤ REPORTING MECHANISM

1. Receipt of Protected Disclosures

Nature of Disclosure	Reporting Authority
Financial / Accounting matters	Ethics Counsellor or Chairperson – Audit Committee
Against employees (VP level & above)	Chairperson – Audit Committee
Against other employees	Ethics Counsellor

- Disclosures received by any other executive shall be **forwarded immediately** to the Ethics Counsellor or Chairperson of the Audit Committee.

2. Mode of Reporting

- **Written disclosures** are preferred for clarity and accuracy.
- Disclosures may be submitted in **English, Hindi, or the regional language** of the Whistle Blower's place of employment.
- **Oral disclosures** are also permitted and shall be documented by the Ethics Counsellor or Chairperson of the Audit Committee through written transcription.

3. Identification & Confidentiality

- Each disclosure shall be accompanied by a **covering letter containing the identity of the Whistle Blower**.
- The covering letter shall be detached before forwarding the disclosure for investigation.
- The identity of the Whistle Blower shall be kept **strictly confidential**, subject to legal requirements.

4. Quality of Disclosures

Disclosures must be:

- Factual and specific
- Supported by relevant details or evidence
- Free from speculation or conclusions

➤ INVESTIGATION PROCESS

Initial Review

- Upon receipt of a Protected Disclosure, the **Audit Committee** or **Ethics Counsellor** conducts a preliminary review to assess:
 - ✓ **Validity:** Whether the disclosure is genuine and falls within the scope of the Policy.
 - ✓ **Materiality:** The potential impact on the Company, including financial, operational, regulatory, or reputational consequences.
 - ✓ **Scope:** The areas, departments, or individuals potentially involved.
- If the disclosure lacks sufficient information, the Whistleblower may be requested to provide additional details.

Appointment of Investigators

- Depending on the nature and complexity of the allegation, the Audit Committee may appoint **internal or external Investigators** to ensure a fair, unbiased, and independent inquiry.
- Investigators may include:
 - ✓ Senior management officers with relevant expertise
 - ✓ External consultants, forensic auditors, or legal professionals
- Investigators are granted appropriate authority and access to information necessary for the investigation, under the oversight of the Audit Committee.

Investigation

- The investigation is conducted in a **confidential, impartial, and timely manner**.
- Steps typically include:
 - ✓ Reviewing documents, records, and communications related to the allegation
 - ✓ Interviewing witnesses, concerned employees, and other stakeholders
 - ✓ Verifying facts and collecting evidence to substantiate or refute the claims
- The identity of the Whistleblower and Subjects is **kept confidential** to the extent possible under law.
- Investigators maintain a written record of all proceedings to ensure transparency and accountability.

Reporting

- Investigators prepare a **detailed investigation report** that includes:
 - ✓ A summary of findings and evidence collected
 - ✓ Conclusions regarding whether the alleged conduct occurred
 - ✓ Recommendations for corrective or disciplinary actions, if necessary

- The report is submitted to the **Audit Committee** and/or Ethics Counsellor for review and further action.

Corrective Actions

- Based on the recommendations in the investigation report, the Audit Committee may direct appropriate measures, including:
 - ✓ **Disciplinary action** against individuals found responsible, which may include warnings, suspension, termination, or legal proceedings.
 - ✓ **Reporting to regulatory authorities or law enforcement**, if required by law or company policy.
 - ✓ **Strengthening internal controls, policies, or processes** to prevent recurrence of similar issues.
- The outcome is documented, and where appropriate, the Whistleblower may be informed of the resolution while maintaining confidentiality of sensitive details.

➤ **PROTECTION TO WHISTLEBLOWERS**

1. Retaliation, harassment, or victimization of whistleblowers is strictly prohibited.
2. Whistleblowers are protected against **direct or indirect adverse consequences**.
3. Any individual attempting intimidation or retaliation shall face **disciplinary or legal action**.
4. Identity of the whistleblower will remain **confidential**, except where disclosure is legally mandated or required for effective investigation.

➤ **FALSE ALLEGATIONS**

Whistleblowers making **malicious or knowingly false complaints** will be subject to disciplinary action, including termination, legal proceedings, or financial liability.

➤ **RETENTION OF DOCUMENTS**

- All complaints, supporting documents, investigation reports, and outcomes shall be **retained for a minimum of eight (8) years**, or as required by applicable law.
- Records shall be securely maintained to preserve **confidentiality and integrity**.

➤ **LEGAL COMPLIANCE AND REGULATORY ALIGNMENT**

This Policy aligns with:

- Companies Act, 2013 and Rules thereunder.
- SEBI (LODR) Regulations, 2015, particularly Regulations 22 and 46.
- Applicable Accounting Standards (Ind AS 24 – Related Party Disclosures).
- Whistleblower protection regulations and guidance issued by SEBI, MCA, and other relevant authorities.

➤ **AMENDMENTS**

1. The Board or Audit Committee may **amend or modify** this Policy at any time to:
 - a. Comply with statutory, regulatory, or legal requirements.
 - b. Strengthen ethical standards, internal controls, or governance practices.
 - c. Address evolving business, operational, or risk management needs.
2. All amendments shall be **approved by the Board** and communicated appropriately.

➤ **DISCLOSURE REQUIREMENT**

In accordance with SEBI LODR and the Companies Act:

1. This Policy shall be disclosed on the **Company's website**.
2. The **Board's Report** shall include details regarding the establishment, implementation, and effectiveness of the Vigil Mechanism.
3. Quarterly or annual reporting to the Board may include:
 - a. Number of complaints received, investigated, and resolved.
 - b. Status of ongoing investigations.
 - c. Corrective or preventive actions implemented.

➤ **EFFECTIVE DATE**

- This Policy is effective from **03rd December 2025**, upon approval by the **Board of Directors of Astonea Labs Limited**.

Note: Approved in the meeting dated December 03, 2025.
